Business Fundamentals: Vendor Management

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What is the relationship here?









Oracle, OpenAI Sign $300 Billion Cloud Deal

The majority of new revenue revealed by Oracle will come from OpenAI deal, sources say




KVUE
abc
DELTA

Delta lost ~$500M. What can it recover?

POLL · 2 MIN

19 July 2024: a faulty CrowdStrike software update crashes Windows machines worldwide. Delta Air Lines cancels ~7,000 flights affecting ~1.3 million customers and puts its losses at about $500 million. CrowdStrike is Delta's cybersecurity vendor, under a signed subscription agreement.

A

The full ~$500M — the vendor caused it

B

Around $100M — a negotiated middle

C

Low single-digit millions

D

Nothing at all

Vote with your fingers (1–4). Then defend your answer to your neighbour in 30 seconds. We reveal the answer in §4.

Three numbers we will decode today

9%

of annual value is lost to poor contract management, according to World Commerce & Contracting.

WorldCC, 2020

1,050%

average annual support-price increase AT&T alleged after Broadcom bought VMware and ended perpetual licences.

AT&T court filing, 2024

99%

of Toyota's brake P-valves came from one supplier, Aisin — until a fire destroyed the plant on 1 Feb 1997.

Nishiguchi & Beaudet, 1998

Source: World Commerce & Contracting (2020); The Register / CIO Dive on AT&T v. Broadcom (2024); Nishiguchi & Beaudet, Sloan Management Review (1998).

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§6 **Govern & exit** Relationships, regulation, lock-in

§7 **Case clinic** India & global · IT & non-IT



By the end of class you can...

- Decide make vs. buy and segment vendors with the Kraljic matrix
- Select vendors on total cost of ownership, not price
- Read an MSA/SOW and spot the clauses that transfer risk
- Choose a pricing model and design an SLA that bites
- Govern the relationship — and plan the exit on day one

§1

Make or buy

Make, buy — or ally? Why firms use vendors at all, and when they shouldn't

The make-or-buy spectrum in one picture

Asset specificity

Investments that are worth little outside this relationship

Uncertainty

Hard to specify, measure or foresee the work

Frequency

How often the transaction recurs

The higher these three are, the further right you move →



MARKET (buy)

Spot purchases, catalogues, tenders

- Stationery, laptops, cabs
- Standard cloud storage
- Housekeeping, canteen

HYBRID (ally)

Long-term contracts, alliances, JVs

- Maruti–supplier JVs
- Multi-year IT outsourcing MSAs
- P&G–JLL facilities (Vested)

HIERARCHY (make)

Own it, employ it, integrate it

- Toyota's production know-how
- A bank's credit-risk models
- Boeing buying back Spirit (2025)

Source: Williamson, O. (1979) Transaction-cost economics, J. Law & Economics; Williamson (1985) The Economic Institutions of Capitalism.

When “buy” goes too far: Boeing and Spirit

2005
Boeing sells its Wichita fuselage operations; they become Spirit AeroSystems, an independent supplier.

2005–2023
Spirit builds 737 fuselages and major 767/777/787 structures; Boeing leans on outsourcing to cut cost and capital.

Jan 2024
A door plug blows out on an Alaska Airlines 737-9; supplier and factory quality come under intense scrutiny.

8 Dec 2025
Boeing completes the re-acquisition: $8.3B enterprise value, ~15,000 employees. Airbus takes Spirit's Airbus work.

What to take away

- Fuselages are high asset-specificity, quality-critical work — exactly where TCE predicts arm's-length contracting struggles.
- Outsourcing the work did not outsource the accountability: regulators and airlines still held Boeing responsible.
- Re-integration is the most expensive exit clause there is.

Discuss: was outsourcing in 2005 the mistake — or the governance afterwards?

Source: Boeing press release & Manufacturing Dive (8 Dec 2025); Forecast International (2025).


CNBC
SERIES
Now Boarding
BOEING'S
PLAN TO FIX
ITS PROBLEMS

Make, buy or ally?

VOTE · 5 MIN

1

Payroll processing for a 5,000-person company

2

A fintech's credit-scoring algorithm

3

Corporate canteen for 2,000 employees

4

Last-mile delivery for a quick-commerce start-up

5

Cloud infrastructure for a private bank

6

Customer-support chatbot for a telecom operator

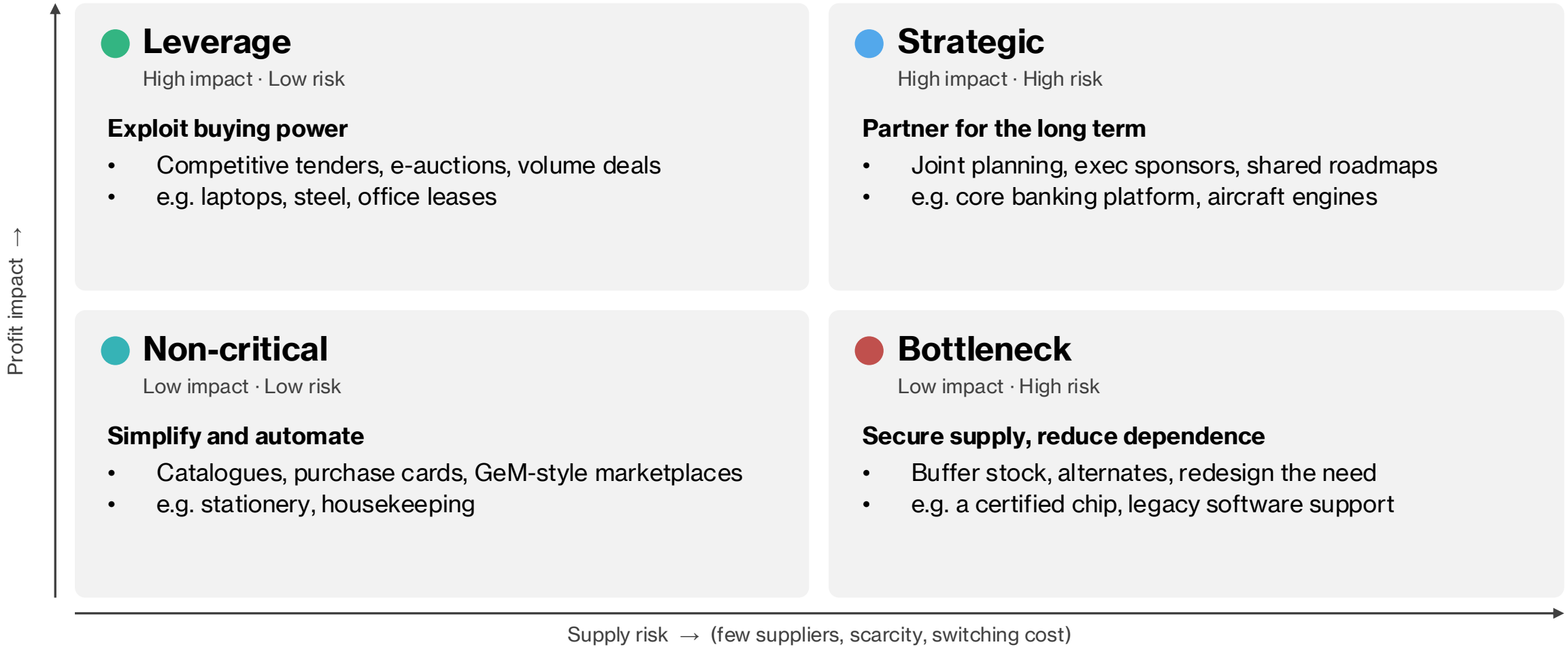
Hands: one finger = MAKE · two = BUY · three = ALLY. Then name the TCE driver that decided it.

§2

Segment your vendors

Not every vendor deserves the same attention – the Kraljic matrix

Purchasing must become supply management



Source: Kraljic, P. (1983) "Purchasing must become supply management", Harvard Business Review, Sept–Oct.

You are the CPO of an Indian bank

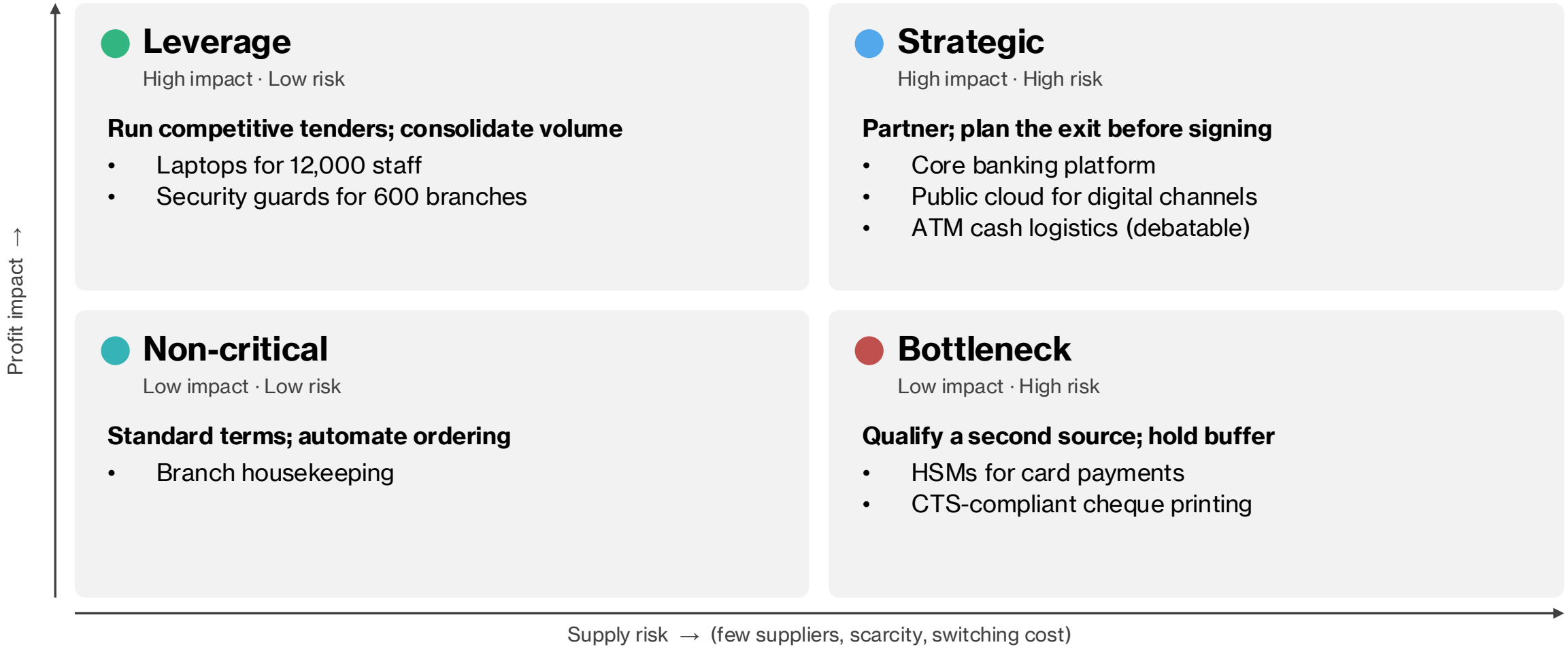
SORT · 6 MIN

Place each purchase in a Kraljic quadrant — and name the one move you would make next.

- Core banking software licence & support
- Public cloud for mobile & internet banking
- Cash-in-transit logistics for 1,200 ATMs
- Laptops for 12,000 employees
- Security guards for 600 branches
- Hardware security modules (HSMs) for card payments
- CTS-compliant cheque book printing
- Branch housekeeping

Tip: high spend does not mean strategic. Ask "how many credible suppliers could replace this one in 90 days?"

One defensible answer – and the debate it triggers



Source: Classification is illustrative; reasonable teams will disagree on cash logistics and guards — the reasoning is what matters.

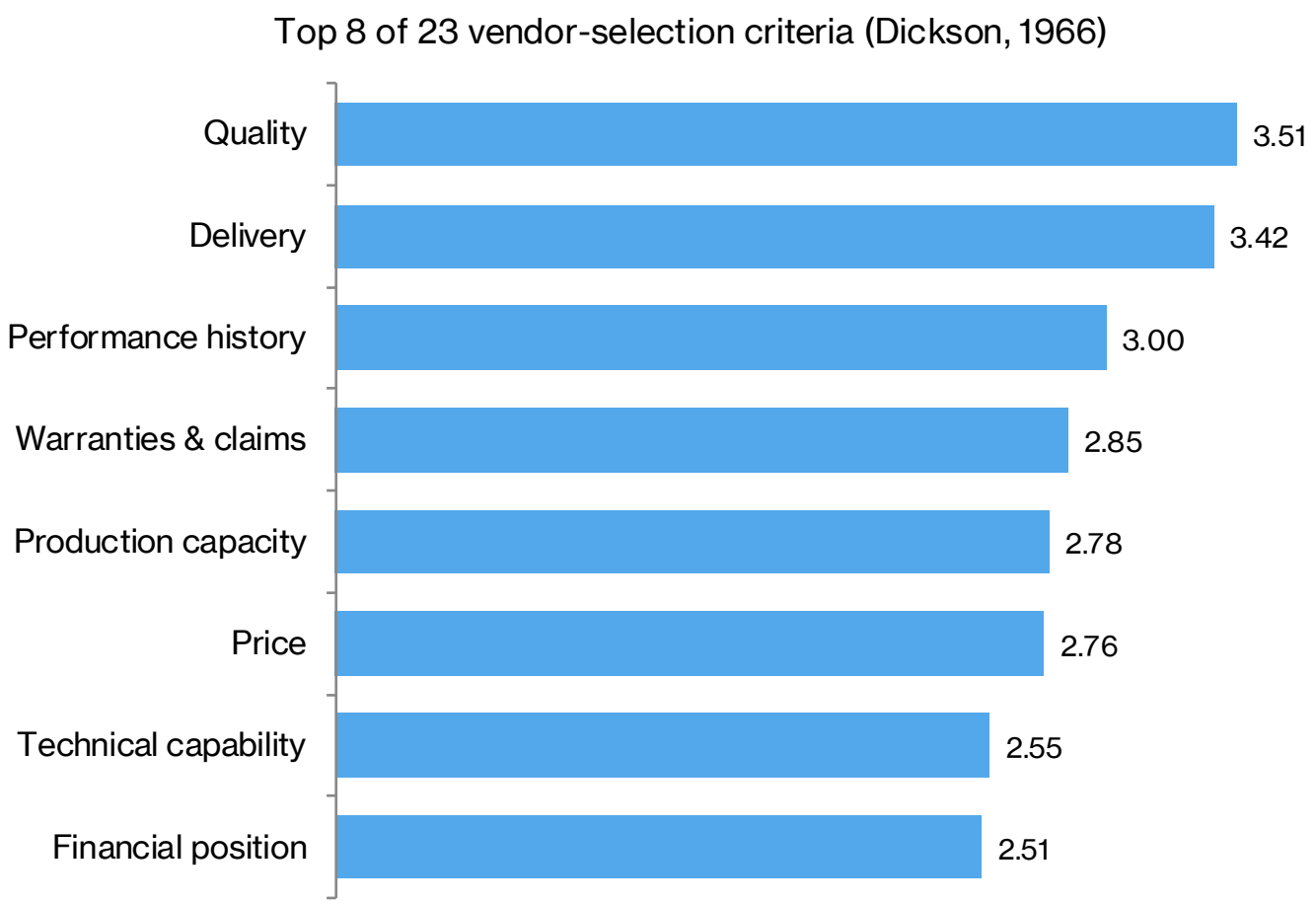

WSJ
NEWS

§3

Vendor selection

Choosing beyond the lowest price: criteria, total cost of ownership, process

Dickson's survey: price was only sixth



#6

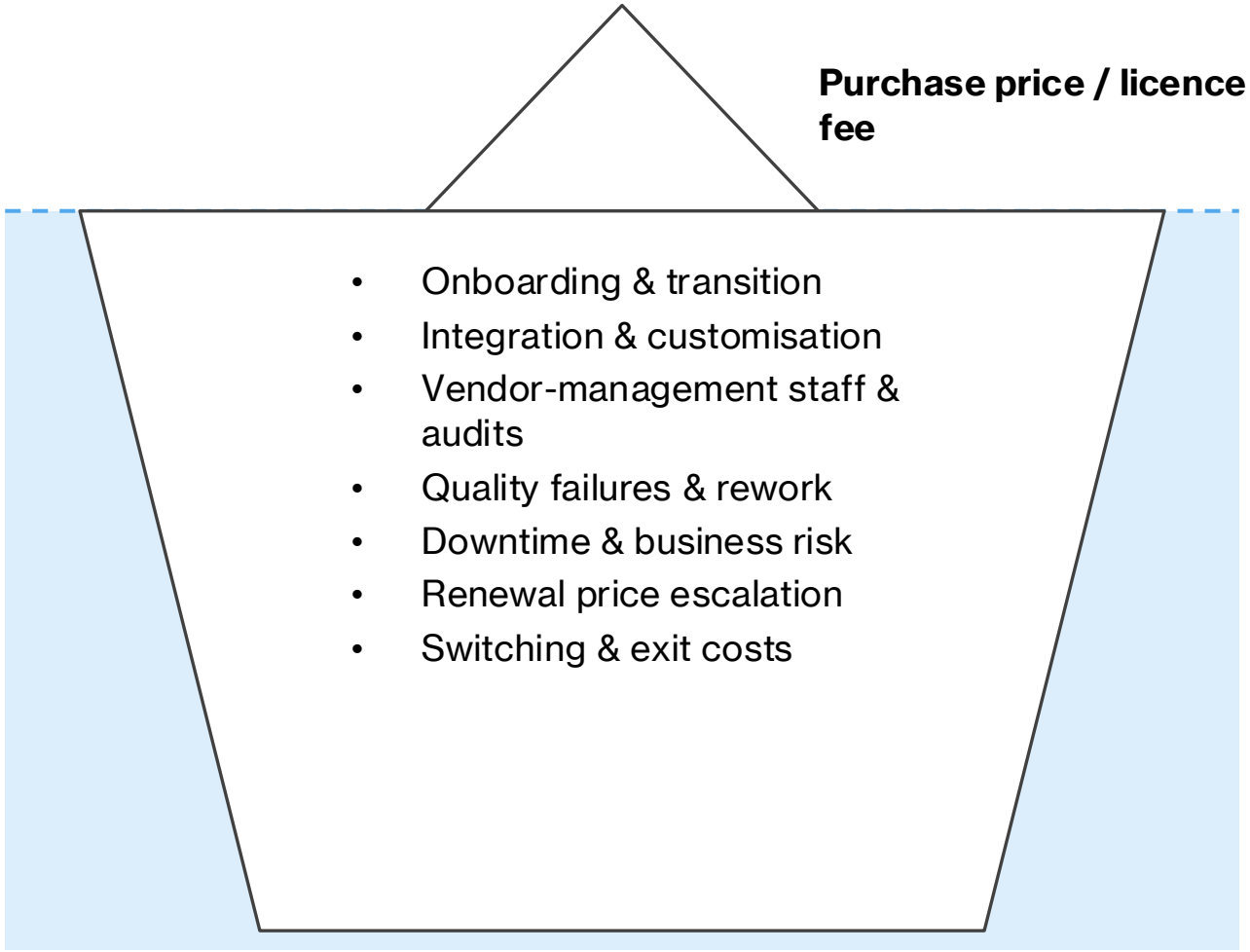
Price ranked sixth among 273 purchasing managers — behind quality, delivery and track record.

25 years later

Weber, Current & Benton reviewed 74 studies (1966–1990): price, delivery and quality were the most-studied criteria, and buyers increasingly trade them off together — especially under JIT.

Source: Dickson, G.W. (1966) J. of Purchasing 2(1); Weber, Current & Benton (1991) European J. of Operational Research 50, 2–18.

Price is the tip of the iceberg



TCO = acquisition + ownership + exit

Ellram (1995) showed firms that track TCO buy differently: they reward suppliers who reduce costs downstream — not just those who quote low.

Exit cost is part of the price

AT&T estimated $40–50M to migrate off VMware. Every renewal quote must be compared with that switching cost — and the vendor knows it.

Source: Ellram, L. (1995) "Total cost of ownership", Int. J. of Physical Distribution & Logistics Mgmt 25(8); AT&T filing reported by The Register (Oct 2024).

From need to award in six steps

1. Define need

Requirements, success measures, Kraljic category

2. RFI

Scan the market; build a long list

3. RFP / RFQ

Same questions to all; scoring set in advance

4. Evaluate

Weighted scoring; L1 vs. quality-and-cost (QCBS)

5. Due diligence

Financials, security, references, ESG, sub-vendors

6. Negotiate & award

BATNA ready; contract before kick-off

India · public procurement

The Government e-Marketplace (GeM) handled ₹5.4 lakh crore of orders in FY 2024-25. Consulting and complex IT often use QCBS rather than lowest-bid (L1).

Watch-out · the winner's curse

A bid far below the others often returns as change requests. Ask bidders to explain their assumptions and price the change-control process.

Source: Ministry of Commerce / All India Radio (2025) on GeM FY25 GMV; General Financial Rules 2017 (QCBS).

Pick a cloud for hospital patient records

SCORE · 8 MIN

Criterion	CFO weights	CIO weights	Vendor X global hyperscaler	Vendor Y Indian low-cost	Vendor Z healthcare niche
Price (5-year TCO)	40%	15%	6	9	5
Security & DPDP compliance	15%	30%	9	6	9
Uptime track record	15%	25%	9	7	8
Exit & data portability	10%	20%	5	8	7
Local support	20%	10%	7	8	9
Weighted score	**?**	**?**			

Scores are illustrative. Score = Σ (weight × score).

Tasks

- Compute each vendor's score under the CFO's weights, then the CIO's (scores out of 10).
- Does the winner change? Why?
- Agree your own weights as a group — and defend them to the hospital's board.

§4

The contract

Where risk changes hands: MSA, SOW, SLA — and the clauses that bite

Is there a perfect contract?



How a vendor relationship is documented

NDA / LOI
Talk safely before you commit

Master Services Agreement (MSA)
Umbrella legal terms: liability, IP, data, termination, disputes — negotiated once

Statements of Work (SOWs)
Each project or service: scope, deliverables, timeline, price, acceptance

Schedules: SLAs · pricing · security · exit plan
Measurable promises and the consequences of missing them

Change requests & amendments
How the deal evolves without a fight

Order of precedence matters: say which document wins when they conflict.

A real one: Intelenet – Apria (2009)

- Mumbai-based BPO (provider) and US home-healthcare firm (customer); public on SEC EDGAR
- ~120-page MSA; services added through SOWs with their own service levels
- Joint Steering Committee governs; disputes escalate in tiers
- SLA credits, termination fees and liability caps all defined up-front

Source: Master Service Agreement between Intelenet Global Services Pvt Ltd and Apria Healthcare Inc., 14 May 2009 (SEC Exhibit 10.2) — in the course folder.

Ten clauses that decide who wins when things go wrong



1

Scope & deliverables

What exactly is in — and out?



2

Acceptance

Who signs off, against which tests?



3

Change control

How are changes priced and approved?



4

Price & payment

Indexation caps? Milestones? Payment days?



5

Service levels

Measured how? Credits? Chronic failure?



6

Warranties & indemnities

Who covers IP, data and third-party claims?



7

Limitation of liability

What is the cap — and what is carved out?



8

Data, security & IP

Who owns outputs? Where is data held?



9

Subcontracting & change of control

Can the vendor hand off — or be bought?



10

Termination & exit

Notice, fees, transition help, data return

Source: Synthesised from the MeitY Cloud MSA (v1.2), the Intelenet–Apria MSA (2009) and the course sample SOW.

CrowdStrike v. Delta: the answer was C

19 Jul 2024	Faulty CrowdStrike update; Delta cancels ~7,000 flights, ~1.3M customers hit; ~$500M claimed.
Oct 2024	Delta sues in Georgia; CrowdStrike counter-sues, citing the 2022 Subscription Services Agreement.
The contract	Liability capped; indirect & consequential losses excluded → CrowdStrike: exposure is “single-digit millions”.
May 2025	Judge dismisses most claims but lets gross-negligence and computer-trespass claims proceed — the carve-outs.

Anatomy of a liability clause

CAP
e.g. fees paid in the prior 12 months

EXCLUSIONS
indirect, consequential, lost profits

CARVE-OUTS (uncapped)
gross negligence, wilful misconduct, data & confidentiality breach, IP indemnity

Smart buyer move (Intelenet–Apria MSA): regulatory fines caused by the vendor are deemed direct damages — so they can't hide behind the exclusion.

Source: CNBC (25 Oct & 17 Dec 2024); Transportation Today (2025) on the Georgia Superior Court ruling; Intelenet–Apria MSA §20.

Six provisions every manager should recognise

Contract Act s.73

Compensation for breach covers loss that arises naturally or was foreseen — not remote or indirect loss.

Contract Act s.74

Liquidated damages: courts award reasonable compensation up to the stated sum — a “penalty” is not automatically paid.

Specific Relief (Amdt.) Act 2018

Specific performance became the rule, not the exception; substituted performance at the defaulter's cost.

Arbitration & Conciliation Act 1996

Most B2B contracts arbitrate: fix the seat, rules, language and number of arbitrators.

MSMED Act 2006 + IT Act s.43B(h)

Pay micro & small suppliers within 45 days (15 if no agreement) or lose the tax deduction (from FY 2023-24).

DPDP Act 2023 + Rules 2025

The data fiduciary stays responsible for its data processors; processors must work under a valid contract.

Source: Bare Acts (Indian Contract Act 1872; Specific Relief Act 1963 as amended 2018; MSMED Act 2006 s.15; Income-tax Act s.43B(h)); DPDP Rules notified 14 Nov 2025. Teaching summary, not legal advice.

What hurts — and what to ask for instead

Clause	Why it hurts	Better ask
4.2 Auto-renewal	5-year lock-in renewing for 5 more; easy to miss the notice window	1–3 yr renewals at buyer's option; 90-day reminder duty on vendor
6.1 Fees	Unilateral, uncapped price rises — the AT&T/VMware problem	Fixed for term; then CPI-linked cap (e.g. ≤ 5%) with right to exit
8.3 Credits	2% as sole remedy; 99.0% allows ~7 hrs downtime a month	99.9%+ for critical services; tiered credits; chronic-failure termination right
11.1 Liability	One month's fees ≈ nothing; no carve-outs	12 months' fees; super-cap for data breach; uncapped gross negligence
12.4 Subcontracting	Your data can move to unknown fourth parties	Prior written consent; flow-down terms; vendor stays liable
14.2 Exit	7 days, proprietary format, then deletion = hostage data	Exit assistance 6–12 months; open formats; no deletion until confirmed
16.1 Disputes	Foreign law and courts: costly for an Indian buyer	Indian law; arbitration seated in India (e.g. Mumbai/Hyderabad)

Source: Better-ask values are illustrative negotiating positions, not market standards; criticality and leverage change what is achievable.

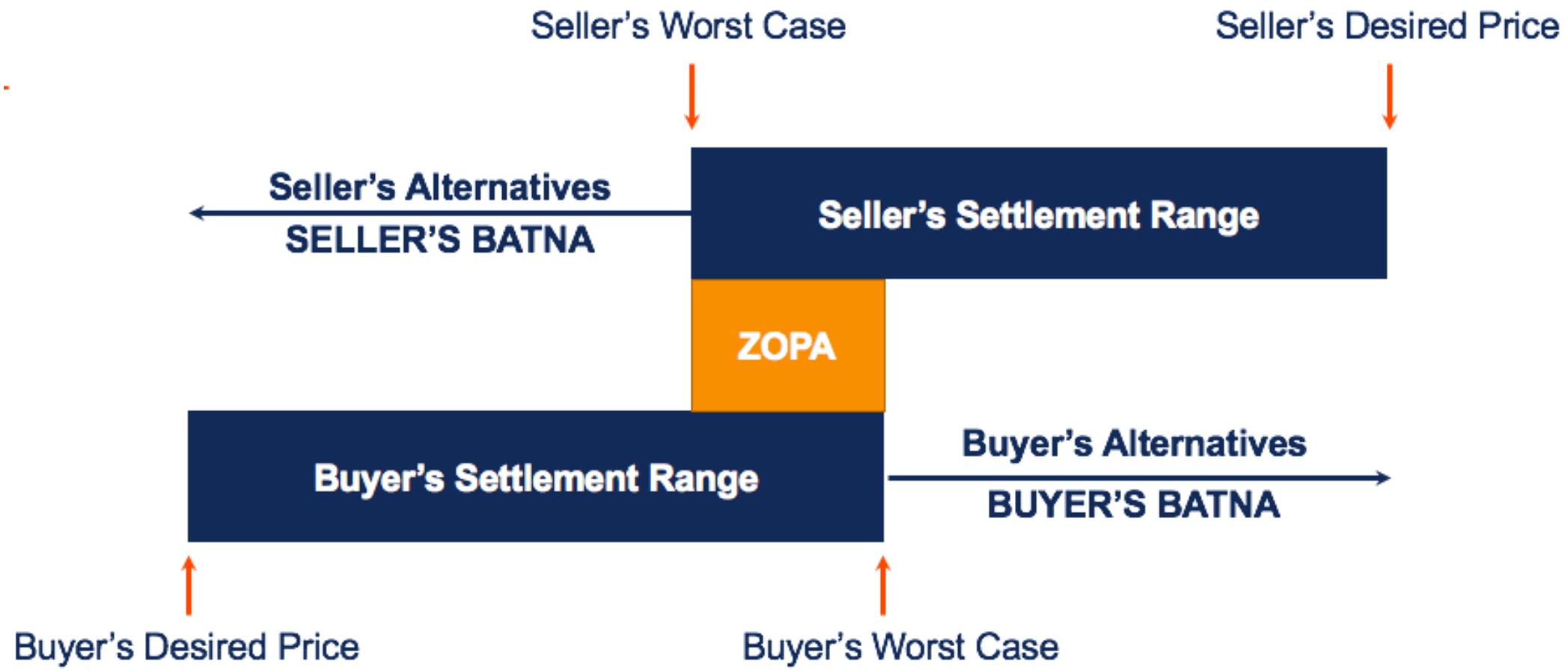
Negotiation - 101



Most Important Thing



Win : Win – For whom?



How to find your BATNA?

1. List all alternatives to the current negotiation – what could you do if negotiations fall through?
2. Evaluate the value of each alternative – how much is each alternative worth to me?
3. Select the alternative that would provide the highest value to you (this is your best alternative to a negotiated agreement).
4. After determining your BATNA, calculate the lowest-valued deal that you're willing to accept.

Scenario

You’re the CIO of the organization. Your company has a 5 year contract with a software vendor. The cost of the 5 year contract is $5 million. The software is used by over 10,000 engineers in the organization. The software vendor has now asked for a 5 fold increase i.e., $25 million for a 2 year extension.

What will you do?

§5

Price & perform

Pricing models and service levels: who carries the risk

Every pricing model moves risk along a line



← Buyer carries more risk

Vendor carries more risk →

Time & materials / cost-plus

How it pays
Pay for hours or costs + margin

Best when
Scope unclear or evolving (agile builds, R&D)

Watch out
No incentive to be efficient; cap it

Fixed capacity

How it pays
Pay for a team or a volume band

Best when
Steady demand; buyer directs the work (GCCs, BPO seats)

Watch out
Under-use is your cost; co-employment

Fixed price / unit rate

How it pays
Pay per deliverable or per unit

Best when
Well-defined scope (fit-outs, migrations, per-meal catering)

Watch out
Vendor pads risk; change requests multiply

Outcome / gain-share

How it pays
Pay for results: uptime, savings, revenue

Best when
Measurable outcome the vendor can influence

Watch out
Hard to measure; needs trust & data

Source: Synthesised from the course SOW sample and standard IT/BPO commercial practice.

Match the pricing model

MATCH · 5 MIN

A A start-up needs an MVP app; requirements will change weekly.

B Repaint and rebrand 40 bank branches to a fixed design.

C An airline wants engines that “just work”.

D A bank wants overdue retail loans collected.

E A GCC needs 30 Java developers for 3 years under its own managers.

F A canteen for 2,000 staff with attendance swinging ±30%.

Models

- Time & materials
- Fixed capacity
- Fixed price / unit rate
- Unit rate + minimum guarantee
- Outcome / % of result
- Pay per hour of use

For each: name the model and the one clause you'd add to protect yourself.

Designing an SLA that actually bites

A good SLA states six things

Metric	**Measurement method**	**Target**
Window	**Exclusions**	**Consequence**

Availability	Allowed downtime / 30-day month
99%	7.2 hours
99.5%	3.6 hours
99.9%	43 minutes
99.95%	22 minutes
99.99%	4.3 minutes

Service credits
A capped % of monthly fees returned per breach; earn-back if performance recovers.

Chronic failure
Intelenet–Apria: major credits in 3 consecutive months, or 5 in 12, = performance default → termination right.

Avoid “watermelon” SLAs
Green outside, red inside: pair technical metrics with experience measures (XLAs).

Non-IT too
Logistics: OTIF (on time, in full). Facilities: response & fix time. Catering: hygiene audit scores.

Source: Downtime = (1 − availability) × 720 hours; Intelenet–Apria MSA §22.2 (2009).

§6

Govern & exit

Contracts are incomplete — trust, governance, regulation and a day-one exit plan

Run the relationship on three tiers



Disputes climb the same ladder: team → joint steering committee → executives → mediation/arbitration (as in the Intelenet–Apria MSA).

Vendor scorecard (quarterly)

Quality	●●●●○
Delivery / SLA	●●●●●
Cost & invoicing accuracy	●●●○○
Responsiveness	●●●●○
Risk & compliance	●●○○○
Innovation	●●●○○

Red rating → action plan with owner and date, reviewed at the next tactical meeting.

Source: Illustrative scorecard; governance structure adapted from the Intelenet–Apria MSA and MeitY Cloud MSA.

You can outsource the work, not the accountability

RBI · IT outsourcing directions (2023)

INDIA

Regulated entity stays accountable; contracts must give the RE and RBI audit and access rights, control sub-contracting, and secure data during exit.

DPDP Act 2023 · Rules (Nov 2025)

INDIA

Data fiduciaries answer for their processors; 18-month phase-in means vendor contracts need DPDP clauses now.

MeitY cloud MSA (in your folder)

INDIA

Government cloud buys use empanelled, audited providers, SLA-linked penalties and a mandatory exit-management plan.

EU DORA (from 17 Jan 2025)

GLOBAL

Financial firms keep a register of ICT third-party contracts with mandatory terms; critical tech providers face direct EU oversight.

Source: RBI Master Direction on Outsourcing of IT Services (10 Apr 2023); PIB on DPDP Rules (14 Nov 2025); MeitY Cloud MSA v1.2; Regulation (EU) 2022/2554 (DORA).

VMware and AT&T: plan the exit before you sign

Nov 2023	Broadcom completes its ~$61B VMware acquisition; perpetual licences end, bundled subscriptions begin.
29 Aug 2024	AT&T sues: claims a contractual right to renew support to Sept 2026; alleges a 1,050% average annual increase.
At stake	~75,000 virtual machines on ~8,600 servers; AT&T puts migration cost at $40–50M.
22 Nov 2024	Settlement-in-principle; terms undisclosed.

Exit-proofing checklist

- Renewal options at the buyer's choice, with price caps
- Change-of-control clause: renegotiate or exit if the vendor is acquired
- Termination assistance for a defined period at agreed rates
- Data and configurations returned in open formats
- Source-code escrow for critical custom software
- An exit plan that is written, costed and tested
- Architecture that keeps a credible second option alive

Source: The Register (Oct 2024); CIO Dive (Nov 2024); TechTarget (2024).


KANSAS
BBQ
CLOSED

§7

Case clinic

India & global · IT & non-IT — what failed, what saved, what you'd write

Every case in today's session, on one map

	INDIA	GLOBAL
IT	• Infosys – Income Tax Dept (★) • Bharti Airtel – IBM • MeitY cloud MSA	• CrowdStrike – Delta • Broadcom/VMware – AT&T • TSB – SABIS (★)
NON-IT	• IndiGo – Pratt & Whitney (★) • Maruti Suzuki suppliers • Intelenet – Apria (BPO)	• KFC – DHL / Bidvest (★) • Toyota – Aisin • Boeing – Spirit • P&G – JLL · Rolls-Royce

★ = case-clinic card for group work

Case clinic: diagnose and redraft

GROUPS · 15 MIN

1 **Segment** Where did this purchase sit on the Kraljic matrix — before and after the crisis?

2 **Diagnose** Which failed: selection, contract, pricing incentive, governance or exit planning?

3 **Redraft** Write the one clause or governance mechanism that would have changed the outcome.

4 **Recommend** Stay, renegotiate, dual-source or exit? Two-minute pitch to the CEO.

Group allocation

- Group A · KFC – DHL (non-IT, global)
- Group B · Infosys – Income Tax portal (IT, India)
- Group C · IndiGo – Pratt & Whitney (non-IT, India)
- Group D · TSB – SABIS (IT, global)

KFC UK: the week the chicken ran out (2018)



What happened

- Oct 2017: KFC UK & Ireland awards distribution to DHL (with QSL), replacing incumbent Bidvest Logistics.
- DHL consolidates deliveries into one new distribution centre in Rugby, replacing Bidvest's six depots.
- Feb 2018 cut-over: deliveries fail; more than half of KFC's ~900 UK restaurants close temporarily.
- KFC apologises with its famous “FCK” bucket ad; by mid-March it brings Bidvest back for ~350 northern restaurants.

Probe questions

- Was the risk in the vendor, the design (one DC) or the cut-over plan?
- What should the transition schedule have required?
- Why could KFC re-hire Bidvest so fast?

Lesson

Transition is the riskiest phase of any vendor switch: pilot regionally, run in parallel, and keep the incumbent's exit cooperation in the contract.

Source: CNN Money (9 Mar 2018); Logistics Matters (2018); Supply Chain Dive (2018).

Infosys and the new income-tax e-filing portal (2021)



What happened

- 2019: Infosys wins the ₹4,242 crore integrated e-filing & CPC 2.0 project; goal: cut return processing from 63 days to 1 day.
- 7 June 2021: new portal launches; taxpayers and CAs report persistent glitches for weeks.
- 21–22 Aug 2021: portal unavailable; Finance Ministry summons Infosys CEO Salil Parekh on 23 Aug and sets a 15 Sept deadline.
- Government had paid Infosys ₹164.5 crore by June 2021 — payments were milestone-linked.

Probe questions

- What go-live (acceptance) criteria would you have insisted on?
- How did milestone payments shape the buyer's leverage?
- How does public scrutiny change vendor governance?

Lesson

Acceptance criteria, load testing and staged go-live protect both sides; milestone-linked payments keep leverage with the buyer until the outcome is delivered.

Source: Tribune India (Aug 2021); The Wire (Aug 2021); India.com / PTI on Cabinet approval (2019).

IndiGo and Pratt & Whitney: the engine bottleneck



What happened

- India's largest airline flies A320neo-family jets, many with Pratt & Whitney GTF engines.
- July 2023: P&W discloses a rare powder-metal defect requiring accelerated engine inspections worldwide.
- By mid-2024 more than 70 IndiGo aircraft are grounded awaiting engines.
- June 2024: IndiGo signs an amendment with IAE (a P&W affiliate) for “customised compensation” — terms undisclosed; IndiGo keeps flying P&W-powered jets.

Probe questions

- Which contract terms made compensation possible (warranty, AOG, performance guarantees)?
- Why negotiate rather than litigate?
- Can an airline dual-source engines? At what cost?

Lesson

For bottleneck/strategic suppliers, negotiated remedies inside an ongoing relationship usually beat a court fight — but only if the contract gave you leverage.

Source: AviationPros & Aviation Source News (June 2024); Simple Flying (2024).

TSB's migration meltdown and a £48.65M fine

What happened

- April 2018: UK bank TSB migrates 5.2M customers to a new platform built and run with its parent Sabadell's IT arm (SABIS) as critical supplier.
- Data migration succeeds, but the platform fails: branch, phone, online and mobile banking disrupted for months.
- TSB pays £32.7M in customer redress; Dec 2022: FCA (£29.75M) and PRA (£18.9M) fine it £48.65M for operational-resilience and outsourcing-risk failings.
- 2024: the former CIO is personally fined by the PRA.

Probe questions

- Does outsourcing to a group company need less governance — or more?
- What evidence should the board have demanded before go-live?
- How would RBI's 2023 directions apply in India?

Lesson

Regulators judge the buyer: due diligence on the vendor's readiness, go-live criteria and board oversight are non-delegable.

Source: FCA & Bank of England press releases (20 Dec 2022); Computer Weekly (2024).

Six clauses to carry out of this room

§1

Decide what not to buy

Use transaction-cost logic: keep what is specific, uncertain and core.

§2

Segment, then negotiate

Kraljic tells you where to compete on price and where to partner.

§3

Select on total cost

Fix weights before bids; price the exit at selection time.

§4

Read the liability clause first

Caps, exclusions and carve-outs decide who pays when it fails.

§5

Make incentives do the work

Pricing models and SLAs are management systems, not paperwork.

§6

Plan the exit on day one

You can outsource work, never accountability.

One-minute paper

WRITE · 3 MIN



1

One clause you would never sign without — and why.



2

Your current or last employer's most critical vendor: which Kraljic quadrant, and is it governed like one?



3

The muddiest point from today.

Submit on paper or via the course LMS before you leave.

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Contracts, regulation and cases

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Renewal showdown — Buyer brief (CIO, Indian insurer)

- Your 5-year licence for the policy-administration software ends in 10 weeks. The vendor has quoted 5× the current annual price for a 2-year extension.
- 10,000 staff use it daily. A replacement platform would take ~18 months and roughly 2× one year's current fees in project costs.
- Your contract gives you a one-time 1-year renewal option at +7%, but legal says the wording is ambiguous.
- A rival vendor has quietly offered a migration incentive: 6 months free licences if you sign within 90 days.
- Your CEO wants no disruption during the year-end renewal season.
- Goal: secure continuity for 2–3 years at the lowest total cost, and create a credible exit path.

Renewal showdown — Vendor brief (account director)

- Your new owners have moved to subscription bundles and set a 40% revenue-growth target for this account.
- The 5× quote came from headquarters; you have authority to go down to 2.5× for a 3-year commitment.
- This insurer is a marquee reference customer in India — losing it would hurt your pipeline with three other insurers.
- You know a rival is courting them, but you also know migrations of this platform typically take 18–24 months.
- You can offer non-price sweeteners: dedicated support team, roadmap influence, training credits.
- Goal: maximise 3-year contract value without losing the logo.